

cuts through a trendline, such as at the start or end of the pattern, it doesn't count as a trendline touch because it's not at a minor high or low.

The figure shows a broadening pattern with an upward breakout providing a tasty 10% rise in just over 2 weeks. A throwback to the top of the broadening pattern occurs almost 4 weeks after the breakout. I consider throwbacks or pullbacks that happen later than 30 days to be just normal price action, and not a throwback or pullback. This one just makes the cut at 27 days. Often, a throwback or pullback will return to the breakout price in an average of 12 days.

Why do these chart patterns form? Look at [Figure 10.3](#). During 1993, the stock entered the left pattern in early April and moved higher on moderate volume until it reached about 35. There, investors selling the stock matched buyers eager to own the security, and the rise stalled. The stock traveled sideways until 10 May when it moved below the prior minor low. As the stock approached \$31, it entered a support zone set up by the retracement in mid-March. The decline stalled and moved sideways for several days. Due to the support level, many investors believed that the decline was at an end and the stock would move higher. It did. As volume climbed, price gapped up (breakaway gap) and quickly soared back to the old high.